



Bandhan Bank has reported a strong set of numbers in Q3'22. Asset quality stabilizes, strong growth in advances especially mortgages a big positive.

- **NII came in at INR 21.2 Bn**, 3.0% YoY / 9.8% QoQ below our expectations of INR 22.3Bn
- **Other Income came in at INR 7.1 Bn**, 26.7% YoY / 35.1% QoQ
- **PPOP came in at INR 19.5 Bn**, 1.0% YoY / 23.0% QoQ above our expectations of INR 18.0 Bn
- **Provisions came in at INR 8.0 Bn**, (25.2%) YoY / (85.6%) QoQ.
- **Bank reported a profit which came in at INR 8.59 Bn**, 36.0% YoY below our expectation of INR 10.0Bn
- **EPS stood at INR 5.3 vs INR 3.9 / INR (18.7) in YoY / QoQ respectively.**

Financial Highlights

- Advances at INR 879.9 Bn (10.0% YoY/7.8% QoQ), growth was seen in all segments on a QoQ and YoY basis, mortgages growth surprised positively. Micro Finance now known as Emerging Entrepreneurs Business (9.0% YoY growth, 6.5% QoQ growth, 65% of advances), retail segment (43.0% YoY growth, 10.8% QoQ growth, 1.3% of advances). Mortgages showed very strong growth, highest in many quarters (6.0% YoY growth, 7.4% QoQ growth, 23.8% of advances) and commercial banking segment (25.3% YoY growth, 17.7% QoQ growth, 9.5% of advances) also showed strong growth.
- On liabilities, Deposits showed strong growth and grew by (19.0% YoY/3.1%) QoQ in Q3FY22 to INR 844.5Bn, with CASA at INR 385.3 Bn(26.0% YoY growth). CASA ratio stood at 45.6%.
- Reported Asset Quality was stable on a YoY and QoQ basis with GNPA at 10.81% (+369 bps YoY/ (1) bps QoQ) to INR 94.4 Bn and NNPA stood at 3.01% (+65 bps YoY/ (3)bps QoQ) to INR 24.1 Bn.

Financial Summary

Y/E Mar(Rs bn)	FY 19	FY 20	FY 21	FY 22E	FY 23E
NII	45	63	75	85	116
Net Profit	20	33	22	10	51
Net Worth	112	151	174	180	230
EPS(Rs)	16	19	14	7	32
growth(%)	45.0	14.8	(33.0)	(50.0)	357.0
P/E(X)	18.1	15.4	20.7	41.0	9.0
P/BV(x)	3.0	3.0	2.7	2.5	2.0
P/Adj BV	3.1	3.1	3.2	3.2	2.3
ROA(%)	3.9	4.1	2.1	0.8	3.3
ROE(%)	19.0	22.9	13.5	6.0	25.1

Source: Dalal & Broacha Research

Rating	TP (Rs)	Up/Dn (%)
BUY	364	23

Market data

Current price	Rs	296
Market Cap (Rs.Bn)	(Rs Bn)	476
Market Cap (US\$ Mn)	(US\$ Mn)	6,388
Face Value	Rs	10
52 Weeks High/Low	Rs	372/ 230
Average Daily Volume	('000)	7,827
BSE Code		541153
Bloomberg		BANDHAN.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-21	Sep-21
Promoters	39.99	39.99
Public	60.1	60.1
Total	100	100

Source: BSE

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- Customer are paying their overdue a/c as earliest in order to maintain healthy record. Overall CE for Bank stood at 93% vs 90% QoQ. EEB CE improved to 96% vs 88% QoQ.
- Non-NPA customers CE stood at 96% vs 88% QoQ and expect to reach 99% soon.
- Collection efficiency as on Q3'22 of Assam stands at 91% up from 67% in Q2'22, West Bengal at 96% from 86% in Q2'22 and Rest of India at 97% from 93% in Q2'22. No restructuring done in this quarter.
- Full paying customers in EEB has increased from 79% to 89%. While 66% of NPA and 61% of the restructured customers are paying.
- Large number of NPA customers have regularized their overdue account; until all overdue amount are not recorded this will not categorized as non- NPA customers. This will lead to decline in GNPA meaningfully in the coming quarters.
- Under Credit guarantee fund, the bank expects recovery of INR 25bn (vs Rs 30bn in Sep'21) as the stress pool has reduced. Bank will place this claims to govt. on 31st march and then after two to three months bank will get money.
- NIMs at 7.8% ((40)bps YoY/20 bps QoQ)
- Operational efficiency improved, with cost to income ratio stood at 31.3% ((440) bps QoQ)
- Strong Capital Adequacy with CRAR at 20%

Valuation and outlook

Bandhan Bank has reported a strong set of numbers after a string of tough quarters, asset quality has stabilized with collection efficiency improving across geographies and segments. Advances and Deposits showed strong growth. Advances growth in mortgages one of the biggest positives of the result as the bank had long failed to deliver in this segment. With this set of numbers, bank seems in line to diversify their business by 2025 and gives us confidence both from short term and long-term perspective.

At CMP the stock trades at 3.3x its FY22E ABV and 2.2x its FY23E ABV. We have maintained a 'Buy' rating on Bandhan Bank as the numbers and disclosures provided by the company gives us and we maintain the target price of INR 364 valuing the stock at 2.8x FY23 P/ABV.

Highlights of the Conference Call

Business Outlook

- Collections have improved across segments.
- Business is expected to reach pre-covid levels in FY22 with strong demand for credit and continued improvement in collection efficiency.

Other Income

- Fees based income was 17.3% of total income vs 14.2% QoQ.
- Other income rise was led by increase in disbursement that led to rise in processing fees (from INR 1.61bn to INR 2.80bn), 3rd party income increased 25% QoQ at INR 850mn and recovery in written off accounts stood at Rs 900mn.

Collection Efficiencies

- Collection efficiency is improving on a QoQ basis has reached 154% with arrears vs 111% QoQ

Restructured book

- The decline in restructured book to INR 66bn (from INR 90bn in Q2'22) is led by recoveries
- No restructuring done in this quarter.

Strong Growth in Mortgages

- Housing finance outstanding assets crossed INR209.39bn (6% YoY and 7% QoQ growth).
- During the quarter, in Housing Loans Bank has launched attractive rate of interest for borrowers and expects this to provide additional attraction to the business.

Growth Guidance and Diversification of Book

- Disbursals picking up across segments.
- New customer addition, credit growth near to pre-covid levels.
- Diversification strategy by 2025 is progressing well as per expectation. Share of group loan would be 50% by FY22.

Financials

Table 1

P&L (Rs Bn)	Q4FY20	Q1FY21	Q2FY21	Q3FY21	Q4FY21	Q1FY22	Q2FY22	Q3FY22
Interest Earned	28.4	30.1	31.9	33.0	30.0	34.1	31.8	34.0
Interest Expended	11.6	12	12.7	12.3	12.4	12.9	12.4	12.8
NII	16.8	18.1	19.2	20.7	17.5	21.1	19.3	21.2
Other Income	5	3.8	3.7	5.5	5.6	6	5.2	7.1
Net Income	33.4	34	35.6	38.6	37.8	40.1	37.1	41.2
Opex	6.6	6.1	6.7	7.1	8.1	7.7	8.7	8.9
PPOP	15.2	15.8	16.1	19.2	17.2	19.3	15.8	19.5
Provisions	8.3	8.5	3.8	19.2	15.9	14.4	56.1	8
PBT	6.9	7.3	12.3	8.4	1.3	4.9	-40.2	11.4
Tax	1.7	1.8	3.12	2.1	0.3	1.2	-10.2	2.8
PAT	5.2	5.5	9.2	6.3	1.03	3.7	-30	8.6
Loan and Deposit Portfolio Growth % with CASA								
Advances YoY Growth (%)	60	18	19	23	21	8	7	10
Deposits YoY Growth (%)	32	35	34	30	37	-7.7	24	19
CASA	36.8	37	38.2	42.9	43.4	42.9	44.6	45.6
Ratios (%)								
GNPA	1.5	1.4	1.2	7.12	6.8	8.2	10.82	10.81
NNPA	0.6	0.5	0.4	2.36	3.5	3.3	3.04	3.01
CAR	27.4	26.4	25.7	26.2	23.5	24.8	20.4	20
Cost/Income	30.3	27.9	29.4	27.1	32.0	29.3	36.2	31.3
Portfolio Yield	13.8	13.6	13	13	11.6	14	12	13
Cost of Borrowing	6.7	6.4	6	6	5.7	6	5	5
Spread	7.1	7.2	7.1	7.3	5.9	8	7	7
NIM	8.1	8.2	8	8.3	6.8	8.5	7.6	7.8

Source: Dalal & Broacha Research

P&L (Rs Bn)	FY20	FY21	FY22	FY23
Interest Earned	108.8	125.2	161.8	206.8
Interest Expended	45.6	49.6	76.4	90.8
NII	63.2	75.6	85.4	116
Other Income	15.5	21.0	23.6	27.8
Total Income	78.7	96.6	109	143.8
Opex	24.2	28.1	34.9	42.9
PPOP	54.4	68.5	74.1	101
Provisions	13.9	39.0	59.9	32.1
PBT	40.5	29.4	14.2	68.9
Tax	10.2	7.4	3.6	17.3
PAT	30.3	22.1	10.6	51.6

Ratios (%)	FY20	FY21	FY22	FY23
Growth				
NII	41	20	13	36
Operating profit	45	26	8	36
Net profit	55	(27.10)	(51.80)	385.6
Advances	68	22	5	25
Returns				
ROA	4.1	2.1	0.8	3.3
ROE	22.9	13.5	6	25.1

Source: Dalal & Broacha Research

BS (Rs Bn)	FY20	FY21	FY22	FY23
Capital	16.1	16.1	16.1	16.1
Reserves	135.8	157.9	164.3	213.9
Deposits	570.8	779.7	953.1	1166.3
Borrowings	163.7	169.6	195	224.3
Other Liabilities	30.6	26.5	86.5	118.6
Total	917.1	1149.9	1415.2	1739.4
Cash & Bank	83.5	61.9	316.1	373.7
Investments	153.5	251.5	218.1	264.2
Advances	666.3	816.1	856.9	1071.1
Fixed Assets	3.6	4.9	5.8	6.8
Other Assets	10.1	15.4	18.5	23.4
Total	917.1	1149.9	1415.2	1739.4

Ratios (%)	FY20	FY21	FY22	FY23
Asset quality				
GNPA	1.5	6.8	8	3
NNPA	0.6	3.5	3.0	1.5
Per share (Rs)				
EPS	19	13.7	6.6	32.1
ABVPS	92	90.4	89.7	130.4
P/E	15.4	20.7	41	9
P/ABVPS	3.1	3.2	3.2	2.3

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